

The performance persistence goes away once the more sophisticated factor benchmark is used. In the multifactor benchmark, all the alphas are negative over the following year. Note that the worst funds continue to do the worst, with the decile 1 multifactor alphas being much lower (−4.8%) than the decile 10 alphas (−1.4%). The multifactor benchmark controls for momentum, and this is mostly responsible for reversing the persistence.³³ Most winning funds hold momentum stocks—stocks with past high returns that continue to do well—and after adjusting for the high returns coming from a momentum factor strategy, the winning funds do not outperform.

Some Funds Do Add Value

There are mutual funds that outperform, but these are hard to find on a consistent basis. Even professors who show that it is possible to find winning mutual funds “concede that their strategy is probably more appropriate for institutions than for individual investors, because it requires the application of complex statistics to a large database of fund returns.”³⁴

Some of the best measures of mutual fund selection involve looking beyond past returns and at the managers and holdings of the funds. Chevalier and Ellison (1999a) find that managers who graduate from more selective colleges whose students have higher SAT scores generate higher returns. Cohen, Frazzini, and Malloy (2008) show that the people you know matters for mutual fund performance. The best connected managers place bigger bets on companies with board members who went to the same college. Managers’ performance on these connected companies significantly exceeds the performance of nonconnected companies.

The holdings of funds predict performance. We should be paying active fees for managers who are actually active. Why pay high fees to managers who just mimic the S&P 500? Cremers and Petajisto’s (2009) “active share” measures the deviation of a fund’s holdings from the holdings of its benchmark index. Active share reflects how much active stock selection is going on.³⁵ Cremers and Petajisto document that funds with higher active shares have higher returns. Interestingly, tracking error—the standard deviation of the difference between the fund’s returns and its benchmark—does not predict returns, indicating you need to look deep into the fund’s holdings to measure the how many active bets the manager

³³ See also Daniel et al. (1997).

³⁴ Quoted by Hulbert, M., “The Manager Is in a Slump (Or Maybe It’s Just a Phase),” *New York Times*, Nov. 20, 2005. The professors are Avramov and Wermers (2006). Baks, Metrick, and Wachter (2001) suggest that even though the average mutual fund manager underperforms, most investors would benefit from a little active management.

³⁵ Kacperczyk, Sialm, and Zheng (2008) develop a related measure involving the difference between the fund’s return and the return implied by the fund’s previously disclosed portfolio holdings. This “return gap” predicts fund performance. Amihud and Goyenko’s (2013) measure is similar in spirit—funds that move most differently from their benchmarks, or are most active, have higher returns. See Kacperczyk, Sialm, and Zheng (2005) for industry concentration results.